valued at $200,000 and you have a $120,000 mortgage, you may be able to borrow $40,000 (that's 80% of $200,000—or $160,000—minus $120,000).

So why would someone want to do this?

One of the main advantages of a home equity loan is that it offers you a tax break that you don't get with credit cards or auto loans. (I'll explain how this works in a minute.) For this reason, in addition to using HELs to pay for home improvements, you could in fact take out home equity loans and use the money, which comes in one lump sum, to pay off higher-rate debt like credit cards or auto loans.

While all this *sounds* really good, there's also a huge pitfall you should know about. If you end up having trouble making your payments, you risk losing your home and still ending up owing money to the bank. That's exactly what's happened to millions of people across the country in recent years.

In the early 2000s, home prices were rapidly rising and banks and mortgage companies were aggressively peddling HELs (often with complex terms that borrowers didn't understand). A growing number of homeowners took out these home equity loans and in some cases started using the money to pay for lifestyles they really couldn't afford. Before long, many people found themselves deep in debt. Even worse, when home prices started to decline, millions found themselves owing more than their homes were actually worth. For that reason, lenders are now much more cautious about giving out home equity loans.

Home Equity Lines of Credit

Most banks offer both home equity loans and **home equity lines of credit (HELOC).** With a home equity *loan*, you get all the money at once in a lump sum and you repay it over five to fifteen years. The interest rate on a home equity loan is typically a fixed rate, meaning it's the same throughout the life of the loan. Home equity **lines of credit,** which are twice as popular as traditional home equity loans, are quite different. Home equity lines are similar to credit cards in that borrowers get a set credit line on which to draw over time; they can choose when, how often, and how much to draw from that loan. Each month they can make the minimum payment or pay more if they want to. Home equity lines generally have variable interest rates, which means they change on a monthly or annual basis when interest